

Microsoft Corporation

3Q26 Preview: Capacity, monetization, and growth pacing

Reiterate Rating: BUY | PO: 500.00 USD | Price: 411.22 USD

AI execution and ROI at the forefront

Microsoft reports fiscal 3Q26 results after the close on Wednesday, April 29th. The stock is down -13% YTD vs. NASDAQ's +4%, likely pressured by investor concerns primarily around moderating Azure growth, fueling skepticism around near-term AI ROI. Into the print, we see three primary items in focus: (1) the pace of Azure revenue growth as incremental AI capacity comes online, (2) signals of Copilot paid seats scaling across the M365 installed base, and (3) underlying stability across non-AI segments that support Microsoft's FCF. We expect 15.1% YoY M365 revenue growth, continued share gains in Dynamics, and gradual improvement in advertising trends at LinkedIn, supporting 11% cc YoY growth across PBP. We maintain our Buy rating and \$500 PO, supported by MSFT's deeply entrenched enterprise platform and sustained AI-driven demand across Azure.

Build-out timing to drive Azure growth

A key item to watch for this quarter is the pace at which incremental compute capacity comes online and its impact on Azure growth. Last quarter Azure grew 38% cc, with management noting that growth could have been 40%+ cc absent compute constraints. We believe Azure growth remains gated by capacity delivery rather than demand, with Fairwater-related buildout and regional expansions, expected to add incremental AI capacity toward the end of FY26. We model 3Q Azure revenue growth of 37.5% cc, in line with Street expectations, and capex growth moderation to 61% YoY (\$26.9bn) from 89% YoY (\$29.9bn) in 2Q26. For the stock to go up, we believe the company would need to beat the Azure growth expectations.

Copilot seats in focus

Copilot monetization and the penetration within Microsoft's M365 commercial base remains another focus area, following a relatively modest Copilot seats level last quarter at ~15mn or 3.5% of M365 seats. The Company continues to enhance Copilot's functionality, adding agentic workflows and collaboration features like Copilot Cowork, and improved seat growth would help counter concerns of share loss to other frontier AI platforms. In our view, Microsoft's Copilot strategy is more about leveraging its deeply entrenched enterprise platform to M365 integration to drive bundling, ARPU expansion, and over time, incremental consumption through agent-based workflows.

Estimates (Jun) (US\$)	2024A	2025A	2026E	2027E	2028E
EPS	11.80	13.64	17.19	19.10	22.30
EPS Change (YoY)	21.9%	15.6%	26.0%	11.1%	16.8%
Consensus EPS (Bloomberg)			16.88	18.97	22.32
Consensus EPS (Visible Alpha)			17.19	19.17	22.39
DPS	2.92	3.23	3.54	3.63	3.64
Valuation (Jun)					
P/E	34.8x	30.1x	23.9x	21.5x	18.4x
Dividend Yield	0.7%	0.8%	0.9%	0.9%	0.9%
EV / EBITDA*	24.1x	19.5x	16.0x	13.9x	11.8x
Free Cash Flow Yield*	2.4%	2.3%	2.2%	2.5%	3.2%

* For full definitions of *IQmethod*SM measures, see page 6.

17 April 2026

Equity

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Stock Data

Price	411.22 USD
Price Objective	500.00 USD
Date Established	24-Mar-2026
Investment Opinion	B-1-7
52-Week Range	355.67 USD - 555.45 USD
Mrkt Val (mn) / Shares Out (mn)	3,053,567 USD / 7,425.6
Free Float	100.0%
Average Daily Value (mn)	13238.28 USD
BofA Ticker / Exchange	MSFT / NAS
Bloomberg / Reuters	MSFT US / MSFT.OQ
ROE (2026E)	33.1%
Net Dbt to Eqty (Jun-2025A)	3.8%

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iQprofileSM Microsoft Corporation

iQmethodSM – Bus Performance*

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Return on Capital Employed	25.2%	24.2%	24.2%	22.5%	22.1%
Return on Equity	37.1%	33.3%	33.1%	29.5%	27.7%
Operating Margin	44.6%	45.6%	46.5%	46.0%	46.2%
Free Cash Flow	74,071	71,611	67,058	77,455	96,603

iQmethodSM – Quality of Earnings*

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash Realization Ratio	1.3x	1.3x	1.3x	1.4x	1.4x
Asset Replacement Ratio	2.0x	1.9x	2.3x	2.4x	2.2x
Tax Rate	18.2%	17.6%	19.2%	18.5%	18.5%
Net Debt-to-Equity Ratio	12.4%	3.8%	1.9%	-2.5%	-8.2%
Interest Cover	NM	26.2x	NA	NM	NA

Income Statement Data (Jun)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Sales	245,122	281,724	328,373	379,843	437,389
% Change	15.7%	14.9%	16.6%	15.7%	15.2%
Gross Profit	171,008	193,893	223,038	254,264	290,627
% Change	17.1%	13.4%	15.0%	14.0%	14.3%
EBITDA	131,720	162,681	197,875	227,670	268,523
% Change	28.7%	23.5%	21.6%	15.1%	17.9%
Net Interest & Other Income	(1,646)	(4,901)	6,211	(200)	1,000
Net Income (Adjusted)	88,136	101,834	128,413	142,170	165,600
% Change	21.8%	15.5%	26.1%	10.7%	16.5%

Free Cash Flow Data (Jun)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Net Income from Cont Operations (GAAP)	88,136	101,832	128,410	142,168	165,598
Depreciation & Amortization	22,287	34,153	45,214	53,031	66,335
Change in Working Capital	1,824	(5,350)	(10,549)	(6,552)	(9,740)
Deferred Taxation Charge	(4,738)	(7,056)	6,937	0	0
Other Adjustments, Net	11,039	12,583	1,975	15,045	17,324
Capital Expenditure	(44,477)	(64,551)	(104,929)	(126,237)	(142,914)
Free Cash Flow	74,071	71,611	67,058	77,455	96,603
% Change	24.5%	-3.3%	-6.4%	15.5%	24.7%
Share / Issue Repurchase	(15,252)	(16,364)	(26,429)	(28,624)	(28,624)
Cost of Dividends Paid	(21,771)	(24,082)	(26,455)	(27,048)	(27,048)
Change in Debt	575	(8,962)	(3,000)	0	0

Balance Sheet Data (Jun)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash & Equivalents	18,315	30,242	31,973	53,755	94,687
Trade Receivables	56,924	69,905	67,531	78,206	89,644
Other Current Assets	84,495	90,984	109,047	126,284	149,577
Property, Plant & Equipment	135,591	204,966	293,830	367,036	443,615
Other Non-Current Assets	216,838	222,906	223,986	223,986	223,986
Total Assets	512,163	619,003	726,367	849,268	1,001,508
Short-Term Debt	8,942	2,999	4,837	4,837	4,837
Other Current Liabilities	116,344	138,219	144,327	165,309	189,843
Long-Term Debt	42,688	40,152	35,425	35,425	35,425
Other Non-Current Liabilities	75,712	94,154	109,824	110,202	110,658
Total Liabilities	243,686	275,524	294,412	315,773	340,763
Total Equity	268,477	343,479	431,954	533,495	660,745
Total Equity & Liabilities	512,163	619,003	726,367	849,268	1,001,508

* For full definitions of iQmethodSM measures, see page 6.

Company Sector

Software

Company Description

Microsoft develops, manufactures, licenses, and supports a wide range of software products. MSFT has transformed its business model from a component driven model (PC, server) to one driven by the need for cloud capacity (its Azure Platform). Products incl. O/S, server applns, O365, Xbox, Surface PC etc. The company has three businesses - Productivity and Business Processes (PBP), Intelligent Cloud (IC) and More Personal Computing (MPC).

Investment Rationale

We believe that Microsoft is well positioned to generate sustained mid double digit growth in the coming 3 years, led by continued adoption of Azure cloud infrastructure platform, cloud based Office 365 productivity suite and a growing number of AI solutions and services. While a revenue mix shift toward lower margin Azure and M365 segments is likely to offset scale benefits NT, operating expense scale is likely to drive stable 20-50bps annual margin expansion over the coming years.

Stock Data

Average Daily Volume 32,192,698

Quarterly Earnings Estimates

	2025	2026
Q1	3.30A	3.72A
Q2	3.23A	5.16A
Q3	3.46A	4.05E
Q4	3.65A	4.27E



Exhibit 1: Our 3Q26 estimates are relatively in-line with Street expectations

BofA estimates vs Street estimates

\$mn, except EPS	3Q26			4Q26		
	Bofa	Consensus	% Diff	Bofa	Consensus	% Diff
Capital Expenditures (excluding financial leases)	(\$26,888.4)	(\$26,694.7)	0.7%	(\$28,770.6)	(\$28,832.2)	-0.2%
YoY (%)	60.6%	59.4%		68.5%	68.8%	
Productivity and Business Process Revenue	\$ 34,401.5	\$34,430.3	-0.1%	\$37,060.4	\$36,744.9	0.9%
YoY (%)	14.9%	15.0%		11.9%	11.0%	
CC YoY (%)	11.0%	14.5%				
Intelligent Cloud Revenue	\$ 34,251.6	\$34,273.1	-0.1%	\$ 37,643.6	\$37,531.9	0.3%
YoY (%)	28.0%	28.1%		26.0%	25.6%	
CC YoY (%)	26.0%	28.0%				
Azure Revenue	\$29,374.9	\$29,047.8	1.1%	\$32,043.9	\$ 31,637.9	1.3%
CC YoY (%)	37.5%	37.6%		36.0%	35.7%	
More Personal Computing Revenue	\$12,742.3	\$12,698.6	0.3%	\$13,328.0	\$13,362.9	-0.3%
YoY (%)	-4.7%	-5.0%		-0.9%	-0.7%	
CC YoY (%)	-7.0%	-7.5%				
Total Revenue	\$81,395.4	\$81,424.5	0.0%	\$88,032.1	\$87,753.6	0.3%
YoY (%)	16.2%	16.2%		15.2%	14.8%	
CC YoY (%)	13.2%	14.3%				
Gross Profit	\$54,779.1	\$54,622.7	0.3%	\$59,333.6	\$58,949.9	0.6%
Gross Margin (%)	67.3%	67.2%		67.4%	67.3%	
Operating Income	\$36,975.5	\$36,888.9	0.2%	\$39,449.6	\$39,293.0	0.4%
Operating Margin (%)	45.4%	45.3%		44.8%	44.8%	
Net Income	\$30,216.5	\$30,119.7	0.3%	\$ 31,988.4	\$ 31,626.5	1.1%
GAAP EPS	\$4.05	\$ 4.04		\$4.27	\$ 4.24	
YoY (%)	17.1%	16.9%		16.9%	16.2%	

Source: BofA Global Research estimates, Bloomberg

BofA GLOBAL RESEARCH



Price objective basis & risk

Microsoft Corporation (MSFT)

Our price objective of \$500 is based on 24x our CY27E P/E, a premium to the peer group of 18-22x. Sustained revenue growth and margin profile warrants the multiple above the high end of the peer group range, in our view.

Downside risks to our price objective: 1) near term gross margin pressure as the Azure business grows as a percentage of overall revenue. 2) AI applications and model providers could innovate at a faster rate than Microsoft, potentially limiting the company's growth profile. 3) Enterprise application spending has proven to be highly cyclical, given the more discretionary nature of applications projects.

Analyst Certification

I, Tal Liani, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

US - Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Adobe	ADBE	ADBE US	Brad Sills
	Amplitude, Inc.	AMPL	AMPL US	Koji Ikeda, CFA
	Asana	ASAN	ASAN US	Matt Bullock
	BILL	BILL	BILL US	Brad Sills
	BlackLine, Inc.	BL	BL US	Koji Ikeda, CFA
	Box Inc	BOX	BOX US	Matt Bullock
	CCC Intelligent Solutions	CCC	CCC US	Madeline Brooks
	Coreweave	CRWV	CRWV US	Tal Liani
	Datadog Inc	DDOG	DDOG US	Koji Ikeda, CFA
	Dynatrace	DT	DT US	Koji Ikeda, CFA
	GitLab Inc.	GTLB	GTLB US	Koji Ikeda, CFA
	Global-e Online Ltd.	GLBE	GLBE US	Matt Bullock
	Hinge Health, Inc.	HNGE	HNGE US	Brad Sills
	HubSpot, Inc.	HUBS	HUBS US	Matt Bullock
	Intapp Inc.	INTA	INTA US	Koji Ikeda, CFA
	Intuit	INTU	INTU US	Brad Sills
	JFrog Ltd	FROG	FROG US	Koji Ikeda, CFA
	Lightspeed Commerce Inc.	LSPD	LSPD US	Koji Ikeda, CFA
	Lightspeed Commerce Inc.	YLSPD	LSPD CN	Koji Ikeda, CFA
	Microsoft Corporation	MSFT	MSFT US	Tal Liani
	MongoDB Inc	MDB	MDB US	Koji Ikeda, CFA
	Nebius Group N.V.	NBIS	NBIS US	Tal Liani
	Oracle Corporation	ORCL	ORCL US	Tal Liani
	Salesforce Inc	CRM	CRM US	Brad Sills
	Samsara	IOT	IOT US	Matt Bullock
	ServiceNow	NOW	NOW US	Brad Sills
	Shopify, Inc.	SHOP	SHOP US	Brad Sills
	Snowflake	SNOW	SNOW US	Koji Ikeda, CFA
	Workday Inc.	WDAY	WDAY US	Brad Sills
	Zeta Global	ZETA	ZETA US	Koji Ikeda, CFA
NEUTRAL				
	Atlassian Corp	TEAM	TEAM US	Koji Ikeda, CFA
	Autodesk	ADSK	ADSK US	Koji Ikeda, CFA
	Bentley Systems	BSY	BSY US	Koji Ikeda, CFA
	Elastic NV	ESTC	ESTC US	Koji Ikeda, CFA
	Figma	FIG	FIG US	Brad Sills
	Freshworks, Inc.	FRSH	FRSH US	Madeline Brooks
	Monday.com	MNDY	MNDY US	Matt Bullock
	nCino, Inc.	NCNO	NCNO US	Koji Ikeda, CFA



US - Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Paycom	PAYC	PAYC US	Madeline Brooks
	Paylocity	PCTY	PCTY US	Madeline Brooks
	Veeva Systems, Inc.	VEEV	VEEV US	Brad Sills
	Vertex, Inc.	VERX	VERX US	Brad Sills
UNDERPERFORM				
	C3.ai	AI	AI US	Koji Ikeda, CFA
	Commerce.com Inc	CMRC	CMRC US	Koji Ikeda, CFA
	Coveo	YCVO	CVO CN	Koji Ikeda, CFA
	Docusign Inc	DOCU	DOCU US	Matt Bullock
	Dropbox	DBX	DBX US	Matt Bullock
	Guidewire Software, Inc.	GWRE	GWRE US	Madeline Brooks
	PagerDuty	PD	PD US	Koji Ikeda, CFA
	Twilio	TWLO	TWLO US	Koji Ikeda, CFA
	UiPath	PATH	PATH US	Koji Ikeda, CFA
	ZoomInfo	GTM	GTM US	Koji Ikeda, CFA

iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

Basic EBIT + Depreciation + Amortization

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Important Disclosures

Microsoft (MSFT) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Technology Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	234	58.50%	Buy	123	52.56%
Hold	90	22.50%	Hold	43	47.78%
Sell	76	19.00%	Sell	23	30.26%

Equity Investment Rating Distribution: Global Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1993	55.76%	Buy	1186	59.51%
Hold	821	22.97%	Hold	509	62.00%
Sell	760	21.26%	Sell	400	52.63%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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